

Circular Details	GC150 / 9 June 2021 / A772326
Previous Circular	GC 149
Who should read this	Councillors / General Managers / Finance Managers
Contact	Helen Pearce – 02 4428 4131 / olg@olg.nsw.gov.au
Action required	Information

2021-22 Financial Assistance Grants (FAGs) – advance payment

What's new or changing

- The Commonwealth Minister for Regional Health, Regional Communications and Local Government, the Hon. Mark Coulton MP has announced that the Federal Government will again bring forward the first two instalments of the estimated 2021-22 FAGs.
- The advance payment will represent approximately 50% of the amount council is entitled to. Further adjustments will need to be made to the remaining payments to take into account:
 1. the determination by the Commonwealth Treasurer of the final adjustments for 2020-21,
 2. the Grants Commission's recommendations for 2021-22.
- The Commission is currently finalising the 2021-22 FAGs recommendations and will advise councils of the outcome when they have been adopted.

What this will mean for your council

- The advance payment amount, as set out in the attached schedule, was paid to councils on 8 June 2021.
- The balance of the grants will be paid with a corresponding reduction to the quarterly instalments during 2021-22.
- The first quarterly instalment is expected to be paid to councils in mid-August 2021, with subsequent instalments in November 2021, February 2022 and May 2022.
- All councils will be advised by letter of individual councils' estimated entitlements for 2021-22 FAGs.

Key points

- The grants are paid under the provisions of the *Local Government (Financial Assistance) Act 1995* (Cwlth).

Where to go for further information

- Updates about the transition and general information are available on the Office of Local Government Website:
<https://www.olg.nsw.gov.au/commissions-and-tribunals/grants-commission>
- Please contact Helen Pearce, Executive Officer, if you require any further information.



**Helen Pearce
Executive Officer
Grants Commission**